DOOGAR & ASSOCIATES
Chartered Accountants

# VALUATION REPORT ON VALUATION OF PARTNERS' INTEREST OF VERTICAL LOGISTIC PARK LLP

**October 14, 2022**

Prepared by:
Vardhman Doogar
Registered Valuer
(Security or Financial Assets)
Gurugram

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October 14, 2022

**Designated Partners,**
Vertical Logistic Park LLP
78 Kapashera New Delhi,
South West Delhi, India- 110037

**Subject: Determination of Fair value of Partners' Interest of Vertical Logistic Park LLP in compliance with Regulation 21 of Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 ("FEMA Regulations") as on October 10, 2022.**

Dear Sir,

In accordance with the terms of the engagement letter dated October 08, 2022 ("Appointment Date"), CA Vardhman Doogar ( hereinafter referred to as "I" or "Registered Valuer") has prepared a valuation report to express my opinion on the fair value of the Partners' Interest of Vertical Logistic Park LLP (hereinafter, referred as "VLPL" or "The LLP") as on October 10, 2022 ( the "Valuation Date" ). The purpose of this valuation report is to determine the fair value of the Partners' Interest in compliance with Regulation 21 of Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 ("FEMA Regulations").

In rendering the aforementioned advisory services, I reviewed and relied upon various materials/information provided by the management of the LLP (the "Management"). My report is based on the historical and projected financial information provided to me by the Management. Because of the limited purpose of this report, the financial information presented in this report may be incomplete and contain departures from generally accepted accounting principles. I have not audited, reviewed, or compiled the financial information provided by the Management and express no assurance on it. Had I audited or reviewed the financial information, matters may have come to my attention that could have resulted in my use of the amounts that differ from those provided. Accordingly, I take no responsibility for the underlying data presented in this report.

**Based on my study and analytical review procedures, and subject to the limitations expressed within this report, my opinion of the fair value of Partners' Interest of Vertical Logistic Park LLP in compliance with The Regulation 21 of Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 ("FEMA Regulations") on a going-concern basis, as on October 10, 2022:**

**Concluded Aggregate Fair Value of Partners' Interest**
**INR 4,909.71 Lakh**

I have no present or contemplated financial interest in Vertical Logistic Park LLP. My fees for this valuation are based upon my normal billing rates and are in no way contingent upon the results of my findings. I have no responsibility to update this report for events and circumstances occurring subsequent to the date of this report. This report is not to be copied or made available to any persons without the express written consent of the Registered Valuer.

**For Doogar & Associates**
**Chartered Accountants,**
FRN: 000561N

IBBI Membership No: IBBI/RV/06/2019/10802
ICAI Registration No. ICAIRVO/RV-N00133/2018-19

Date: October 14, 2022
UDIN: 22517347AZTYLA1803
Place: Gurugram

# I. INTRODUCTION

## A. Purpose of Valuation and Appointing Authority

I have been appointed by the management to express an opinion on the fair value of Partners' Interest of the LLP on a fully diluted basis as on December 31, 2021 in compliance with Regulation 21 of Foreign Exchange Management (Non Debt Instruments) Rules, 2019 ("FEMA Regulations").

CA Vardhman Doogar, a registered valuer and Chartered Accountant has been appointed for the aforementioned valuation exercise.

This report must be considered in the above-mentioned context only and is not an advisory document for any other purpose. The report may not be distributed, reproduced, or used, without the express written consent of Vardhman Doogar for any purpose other than mentioned above. My valuation analysis should not be construed as investment advice; specifically, I do not express any opinion on the suitability of any investment with the LLP.

## B. Standard Compliance and Valuation Basis

As per the Provisions of Foreign Exchange Management Act read with Foreign Exchange Management (Non-debt Instruments) Rules, 2019 issued by RBI, in case of transfer of equity instruments by unlisted Indian company to a person resident outside India, the price of such shares shall not be less than the price determined by the valuation report of a Chartered Accountant or Securities and Exchange Board of India registered Merchant Banker or practicing Cost Accountant. The relevant extract is reproduced below for reference:

*"The price of equity instruments of an Indian company transferred by a person resident in India to a person resident outside India should not be less than the valuation of equity instruments done as per any internationally accepted pricing methodology for valuation on an arm's length basis duly certified by a Chartered Accountant or a SEBI registered Merchant Banker or a practicing Cost Accountant, in case of an unlisted Indian Company"*

## C. Approach to Valuation

My opinion is based on, among other things, my estimate of the risks facing the LLP and the return on investment that would be required on alternative investments with similar levels of risk.

To value the LLP, I considered three approaches to valuation: the market approach, the income approach, and the asset approach. I have reviewed and analyzed several methods and their results to determine which methods would generate the most reasonable opinion of the value of the LLP's operations as on the valuation. After careful consideration of each method's underlying assumptions and variables that were utilized, I concluded that the income approach, utilizing the discounted cash flow method, would provide the most appropriate indication of the fair value of the LLP. A description of this method and the methods considered but not used are included in this report.

Both internal and external factors, which influence the value of the LLP have been reviewed, analyzed, and interpreted. Internal factors included the LLP's financial position and results of operations. External factors included, among other things, the status of the economy and the position of the LLP relative to the industry.

New Delhi

## D. Scope of Information

My expression of the opinion on the fair value of the LLP is supported by all procedures that I deem to be relevant. I have obtained sufficient information and relied on the data, facts, information, documents, and explanations as authenticated, and provided to me by the Management. I have relied upon Management Representation Letter dated October 12, 2022, wherein the management provided the following information to the "Registered Valuer":

- A Brief Note on the background of the LLP.
- Audited Financial Statements of the VLPL for the period ended on March 31, 2022.
- Management Certified Financial Statements of the VLPL for the period ended on October 10, 2022.
- Projected consolidate Financial Statements of VLPL for the period beginning from October 11, 2022, to March 31 2027.
- Estimates of projected working capital and capital expenditure during the projected period.
- Discussions with the Management, and other quantitative and qualitative data.

Supporting data, copies of source documents, and other pertinent information supporting my opinion of value are maintained in my files.

## E. Restrictions and Limitation of Verification

My valuation report and analysis are subject to the assumptions and limiting conditions mentioned in **Appendix A** of the report.

The relevant information for the purpose of this valuation has been provided by the Management. I do not make any representations or warranty, express or implied, regarding the achievability/ accuracy of the forecasts and accuracy/ completeness of such other information as provided by the Management. As part of my evaluation process, I have evaluated the reasonableness of the projections prepared by the Management and had a detailed round of discussions with the Management to understand the basis and assumptions for the preparation of the projections. The future projections have been Benchmarked with the historical performance of the LLP and current industry dynamics. The relevant information and support documents provided by the Management in relation to the projections have not been independently verified by me with any third party or any other sources and are believed to be true and reliable. The information contained herein is based on the analysis of information known or knowable at the time when this report was prepared.

In furnishing this report, I reserve the right to amend or replace the report at any time. The information contained herein is based on the analysis of information available at the time when the report was prepared. I do not purport to give any representation, warranty, or other assurance in relation to this document.

This Report highlights the basis of the arriving at the value of the partners' interests of the LLP, identifies various factors affecting the valuation, summarizes the best valuation methodology keeping in view the circumstances prevailing at the time of valuation, and arrives at the opinion on the value of the partners' interests of the LLP, considering the facts of the case. However, it may be noted that valuation is a highly subjective exercise and may differ from valuer to valuer depending upon the perception of attendant circumstances. At best it is an expression of opinion or a recommendation based on certain assumptions at a given point in time.

Unless stated otherwise, industry and market data used in this report have been obtained from market research, publicly available information, and industry publications. Industry publications generally state that the information contained in those publications has been obtained from sources believed to be reliable but that their accuracy and completeness are not guaranteed, and their reliability is not assured. Industry data used in the Report has not been independently verified. The information included in the Report about other listed and unlisted companies is based on their respective annual reports and their respective publicly available information.

I have relied on data from external sources also to conclude the valuation. These sources are believed to be reliable and therefore, I assume no liability for the truth or accuracy of any data, opinions, or estimates furnished by others that have been used in this analysis. Where I have relied on data, opinions, or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources and /or reproduced in its proper form and context.

Management while accepting the report agrees with the methodology and working and indemnifies the valuer. The liability of the valuer is only limited to the fees charged by the valuer.

This report and the information contained herein are confidential. It is intended only for the sole use and information of the client and only for the purpose mentioned herein. I am not responsible to any other user of the report for any decision based on this report. Any user intending to provide finance/invest in the shares/business of the LLP and/or the client, its subsidiaries, if any, shall do so after seeking their own professional advice and after carrying out their own due diligence procedures to ensure that they are making an informed decision.

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# II. BRIEF BACKGROUND

## A. Overview

Vertical Logistic Park LLP is a limited liability partnership incorporated under Limited Liability Partnership Act, 2008 on 14th June 2017.

The LLP is engaged in the business of development of 'Built To Suit' distribution centres that are smart and futuristic, with a focus to provide unmatched quality and capability of distribution at economical and judicious costs.

The LLP offers storage and warehousing for general merchandise, furniture, automobiles, gas and oils, chemicals, textiles, etc.

[Source : Management]

## B. Management

The LLP is managed by Mr Vikas Yadav, a Designated Partner and Mr Abhishek Yadav, COO.

Mr Vikas Yadav – holds a Masters of Business Administration (MBA) degree from Infinity Business School and has been entrepreneur for over 20 years. As the founder of Vertical Warehousing group, which includes the LLP, Vikas manages the overall operations of the warehousing and the associated construction/development business.
Vikas has a thorough knowledge and expertise in land identification, land acquisition, construction and leasing of warehouses and office spaces. He has so far constructed almost four lakh square feet of multi-utility buildings having warehouse and office spaces. In 2007, Vikas ventured into building large-scale Warehousing projects and has successfully established Vertical Warehousing group as a pioneer and leader in developing Logistics Parks in the NCR region.

Abhishek Yadav - is a result-oriented management executive with over 22 years of experience in operations, client services, workforce management and consulting. With a strong background in leading large teams, operations management, setting up new accounts and client management, Abhishek has managed a multi-million dollar program for a US-based financial services and telecom client for establishing a low cost and operationally effective Project & Client Management centre.

Abhishek joined Vertical Warehousing as a Chief Operating Officer in 2016 and has been instrumental in setting up processes and systems to scale up the business with a focus on operational efficiency and profitability. He is also involved in project development endeavours through coordination with the Design Consultants for finalization of the Tender Drawings, Specifications, BOQ, Value Engineering, Quantity Survey and Cost Estimates as also commercial aspects of contracts with vendors, contractors and lessees.

[Source : Management]

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## III. Historical Financials

The LLP's balance sheet as on March 31, 2021 and October 10, 2022 are presented below:

**VERTICAL LOGISTIC PARK LLP**
Historical Balance Sheets

INR in hundreds

| Particulars | 31 March 2021 | 31 March 2022 | 10 October 2022 |
|---|---|---|---|
| **Contribution and Liabilities** | | | |
| **Partner Funds** | | | |
| Partner Contribution | 1,000 | 1,000 | 505 |
| Partners' Current Account | | | 5,542,752 |
| Reserves and Surplus | 11,029 | 49,085 | 88,271 |
| Total Equity | 12,029 | 50,085 | 5,631,528 |
| **Non-Current Liabilities** | | | |
| Long-Term Borrowings | 4,793,173 | 7,218,146 | 8,295,000 |
| Other long-term Liabilities | 1,895,160 | 465,297 | 4,245,467 |
| Total Non-Current Liabilities | 6,688,333 | 7,683,443 | 12,540,467 |
| **Current Liabilities** | | | |
| Trade Payables | 51,015 | 183,879 | 226,096 |
| Other Current Liabilities | 375,258 | 496,255 | 1,893,616 |
| Short-Term Provisions | 25,053 | 17,820 | - |
| Total Current Liabilities | 451,325 | 697,867 | 2,119,752 |
| **Total Equity and Liabilities** | 7,151,686 | 8,431,395 | 20,291,696 |
| **Assets** | | | |
| **Non-Current Assets** | | | |
| Property, Plant and Equipment | | | |
| Tangible Assets | 4,185,843 | 4,130,154 | 19,581,612 |
| Capital Work in progress | | 3,545,105 | - |
| Non Current Investment | 7,445 | 157,893 | 162,184 |
| Total Non-Current Assets | 4,193,288 | 7,833,152 | 19,743,796 |
| **Current Assets** | | | |
| Trade Receivables | 131,184 | 34,862 | 263,505 |
| Cash and Cash Equivalents | 2,534,215 | 68,719 | 158,492 |
| Short Term Loans and Advances | 292,971 | 494,549 | 125,888 |
| Other Current Assets | 29 | 14 | 14 |
| Total Current Assets | 2,958,398 | 598,243 | 547,900 |
| **Total Assets** | 7,151,686 | 8,431,395 | 20,291,696 |

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In the following table, I present the extracts of the income statements for the year ended March 31, 2021 and October 10, 2022.

| VERTICAL LOGISTIC PARK LLP<br>Historical Profit and Loss<br>INR in hundreds | | | |
|---|---|---|---|
| **Particulars** | **31 March 2021** | **31 March 2022** | **10 October 2022** |
| **Income** | | | |
| Rental Income | 728,183 | 167,962 | 504,629 |
| Other Income | 679 | 1,332 | 4,758 |
| TOTAL INCOME | 728,862 | 169,293 | 509,387 |
| **Expenses** | | | |
| Cost of Material Consumed | - | - | 1,652 |
| Employee Benefit Expenses | 6,051 | 2,110 | 13,844 |
| Other Expenses | 119,132 | 13,385 | 178,882 |
| Total Expenses | 125,182 | 15,495 | 194,377 |
| **EBITDA** | **603,679** | **153,798** | **315,009** |
| Finance Costs | 227,905 | 65,527 | 159,121 |
| Depreciation | 311,000 | (0) | 126,567 |
| **EBT** | **64,774** | **88,271** | **29,321** |
| Provision for Taxes | 24802.7 | - | - |
| **PAT** | **39,971** | **88,271** | **29,321** |

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## IV. VALUATION OF Vertical Logistic Park LLP

### A. Valuation Approach

There are three main generally accepted approaches to valuation:

(a) Market approach
(b) Income approach
(c) Cost approach

A brief explanation of each valuation approach is provided below.

Income Approach

The income approach provides an estimate of the present value of the monetary benefits expected to flow to the owners of the business. It requires the projection of the cash flows that the business is expected to generate. These cash flows are then converted to their present value by means of discounting, using a rate of return that accounts for the time value of money and the appropriate degree of risk in the investment. The value of the business is the sum of the discounted cash flows.

Market Approach

The market approach considers actual arm's-length transactions for which the market value of investments alternative to the subject company can be observed. The value of a company or an ownership interest in the company can be estimated by developing relevant multiples for the comparative companies that relate value to underlying revenue, earnings, or cash flow variable, and then applying these multiples to the comparable underlying revenue, earnings, or cash flow variable for the subject company. The value multiples can be derived from guideline public company and guideline transactions of the publicly traded company or private companies.

Cost (Asset-Based) Approach

The asset-based (net underlying assets) approach is a form of the cost approach. The values of the individual assets (i.e., current, fixed, and intangible) of the business are estimated. The sum of the individual asset values represents the total asset value of the enterprise. The enterprise's liabilities related to working capital are deducted to arrive at an indication of value for the invested capital of the business. Because the cost approach does not always reflect the full value of intangible assets, it is often not appropriate to value an operating business completely on the basis of this approach without giving weight to other valuation methods. Cost approach may be relevant to the value of an operating business that is not sufficiently profitable and whose "breakup" values may be greater than its going concern value.

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## B. Valuation Methodologies

The valuation methodology to be adopted varies from case to case depending upon different factors affecting valuation. Different methodologies are adopted for the valuation of manufacturing, investment, consultancy and trading companies.

Though there are no thumb rules for valuation, the method to be adopted has to be appropriate to the particular purpose for which valuation is being done as well as the attendant circumstances of each case. For example, a manufacturing company is generally valued on the combination of asset value and the earning potential of the business. An investment company is valued on the basis of the fair value of underlying assets.

However, the value is specific to the point in time and may change with the passage of time. The value is derived in the context of an existing environment that includes economic conditions, state of industry/market and state of business activities of companies being valued etc. as on the appointed date of valuation. The basis of valuation would depend upon the purpose of valuation, the type of business, the future prospects and other attendant circumstances.

**Discounted Cash Flow Method (DCF) – Income Approach**

The DCF method values the asset by discounting the cash flows expected to be generated by the asset for the explicit forecast period and also the perpetuity value (or terminal value) in the case of assets with an indefinite life. The DCF method is one of the most common methods for valuing various assets such as shares, businesses, real estate projects, debt instruments, etc. This method involves discounting future cash flows expected to be generated by an asset over its life using an appropriate discount rate to arrive at the present value. The important inputs for the DCF method are (a) Cash flows; (b) Discount rate; and (c) Terminal value.

The following are the cash flows which are used for the projections:

**(a) Free Cash Flows to Firm (FCFF)**: FCFF refers to cash flows that are available to all the providers of capital, i.e. equity shareholders, preference shareholders and lenders. Therefore, cash flows required to service lenders and preference shareholders such as interest, dividend, repayment of principal amount and even additional fund raising are not considered in the calculation of FCFF.

**(b) Free Cash Flows to Equity (FCFE)**: FCFE refers to cash flows available to equity shareholders and therefore, cash flows after interest, dividend to preference shareholders, principal repayment and additional funds raised from lenders/preference shareholders are considered.

**Appropriate Discount Rate** – The discount Rate is the return expected by a market participant from a particular investment and shall reflect not only the time value of money but also the risk inherent in the asset being valued as well as the risk inherent in achieving the future cash flows. In discounting the FCFF the appropriate discount rate is the weighted average cost of capital, which results in the enterprise value of the Company. Whereas, in the case of FCFE the appropriate discount rate is the cost of equity, which results in the equity value of the Company.

**Terminal value** – It represents the present value at the end of explicit forecast period of all subsequent cash flows to the end of the life of the asset or into perpetuity if the asset has an indefinite life. There are different methods for estimating the terminal value. The commonly used methods are:

(a) Gordon (Constant) Growth Model;
(b) Variable Growth Model;
(c) Exit Multiple; and

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**Comparable Company Multiple Method (CCM) – Market Approach**

This method involves reviewing valuation multiples for companies that are in the same or similar line of business as the company being valued and then applying the relevant valuation multiples to the subject company to determine its value. The theory behind this approach is that valuation measures of similar companies, as manifested through stock market valuations of listed comparable companies, should represent a good proxy for the specific company being valued. Depending on the source of data available and the underlying company being valued, a variety of valuation measures might be used including Enterprise Value (EV) to Sales, EV to EBITDA, Price to Earnings, etc.

**Comparable Transaction Multiple Method (CTM) – Market Approach**

This method involves reviewing transaction multiples for companies that are in the same or similar line of business as the company being valued and then applying the relevant transaction multiples to the subject company to determine its value. The transaction multiples are determined for the comparable transactions for which financial details are available in the public domain. The theory behind this approach is that valuation measures of similar companies, as manifest through market transactions (i.e., acquisition or equity funding), should represent a good proxy for the specific company being valued. Depending on the source of data available and the underlying company being valued, a variety of valuation measures might be used including Enterprise Value (EV) to Sales, EV to EBITDA, Price to Earnings, etc.

**Net Assets Value Method – Cost (Asset Based) Approach**

The net asset value method is an asset-based approach to valuation where the value of the business is based on the difference between the fair market value of the assets and liabilities of the business. This method is a sound method for estimating the value of a non-operating business, such as real estate holding company, or a business that is continuing to generate losses, or which is expected to be liquidated.

## E. Valuation Methods Considered but Not Used for the Valuation

**Comparable Company Multiple Method or Comparable Transaction Multiple Method**

This market-based method's underlying principle is that the value of a business is often defined in terms of what it can be sold for in a cash transaction. This same value should apply not just to the business being sold, but also to other similar businesses. The Comparable Company or Comparable Transaction Multiple Method involves an analysis of stock transactions for similar publicly traded companies. Using observed stock prices and a company's publicly available financial data, implied valuation multiples such as Price to Earnings (P/E), Price to Sales (P/S), Price to Cash Flow (P/CF), Price to Book Value (P/B), and other relevant multiples may be calculated and used in some combination to derive an indication of value. A search for publicly traded comparable companies with similar core business, sales size and other attributes did not yield a sufficient number of results to adequately perform this method.

**Net Asset Value Method**

As the Company is a going concern and operates in the service sector, I have not used this method for my valuation analysis.

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## D. Valuation of the LLP via Discounted Cash Flow Method ("DCF")

Based on the LLP's current status and nature of the business, I have considered it appropriate to apply the discounted cash flow method on the cash flows of the LLP to determine the fair value of the partners' interests of the LLP, as explained in detail in the following sections.

### I. Determination of Projected, Annual Free Cash Flow to Equity

For my discounted cash flow analysis, I relied upon the multi-year projections, long-term growth expectations and other related information provided by the Management.

The formula for FCFF is defined as follows:

Net Income

Add: Depreciation & Amortization (and other non-cash charges)
Less: Capital Expenditures
Less: Increase in Net Working Capital

**Free Cash Flow to Firm (FCFF)**

**Key inputs for the calculation of the projected FCFF are presented below:**

**Projected EBIT:**

Management provided us with the projected financial statements from October 11, 2022 through March 31, 2027 which is present below.

| Particulars | 2022-23 | 2023-24 | 2024-25 | 2025-26 | 2026-27 |
|---|---|---|---|---|---|
| **Total Revenue (except other Income)** | **708.66** | **1,704.84** | **2,012.67** | **2,113.30** | **2,218.97** |
| Revenue Growth | | | 18% | 5% | 5% |
| **EBIDTA (Operating)** | **642.57** | **1,567.78** | **1,870.69** | **1,966.17** | **2,066.42** |
| EBIDTA Margin (%) | 91% | 92% | 93% | 93% | 93% |
| Less: IT Depreciation | (597.43) | 0.03 | (882.99) | (794.58) | (715.06) |
| **EBIT** | **45.13** | **1,567.81** | **987.70** | **1,171.58** | **1,351.36** |
| Less: Taxes | - | - | - | - | - |
| **PAT** | **45.13** | **1,567.81** | **987.70** | **1,171.58** | **1,351.36** |

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**Income Tax:**

Income tax has been calculated based on the applicable corporate tax rates (including surcharge and cess) as on the Valuation date. (The effective tax rate is 34.94%).

**Capital Expenditures and Depreciation:**

Management has provided me with the estimated Capital expenditure and Depreciation.

**Normalized Increase / (Decrease) in Net Working Capital:**

Management has provided us with the estimated working capital requirements.

3. <u>Determination of Discounting Factor</u>

In determining the present value of the cash flows available to the firm, the discount rate used is the WACC. This reflects the opportunity cost of the all the stakeholders of the LLP.

Cost of equity is arrived at by using the CAPM as follows:

| | | |
|---|---|---|
| Cost of Equity | : | Rf + (ßRmp) |
| Rf | : | Risk-free rate. This rate is based on the 10-year Indian Government Bond yield of 7.5% as October 10, 2022. (Source: investing.com) |
| ß | : | Beta, the measure to which a given industry fluctuates in relation to the overall stock market. The beta of 0.87 of R.E.I.T. industry has been taken for our valuation analysis. (Source: damodaran.com) |
| Rmp | : | Equity risk premium. The Erp of 8.08% has been taken for my valuation analysis based on the data published by Aswath Damodaran for India. |
| CSRP | : | Company Specific Risk premium (CSRP) is based on a qualitative analysis of the inherent risk factors in the subject company cash flow projections. We have assumed CSRP as 3% to account for risk associated with operations. The CSRP considers factors such as geographic scope, diversity of product lines, customer concentration, depth of management, financial strength, perceived risk in achieving projections, risk associated with size of operations (size risk) and other company specific factors. |

Based on the representation from the management, we have taken before tax cost of Debt of 7.75% and after considering the tax rate applicable too the LLP we have arrived at an after tax cost of debt of 5.04%. we have used target debt equity weights for deriving the WACC for the LLP. The management based on their future prospective of the LLP has represented that the firm long term target debt equity ratio shall be 1:1 and the same has been considered for our valuation exercise. Based on the Cost of equity and cost of debt and using target debt to equity ratio we have arrived at the WACC of 11.72%.

The calculation of the cost of equity for the LLP has been presented below.

| VERTICAL LOGISTIC PARK LLP<br>Computation of Cost of Equity | | |
|---|---|---|
| Risk Free Rate of Return | | 7.5% |
| Add: Beta Adjusted Risk Premium | | 7.9% |
| Market Equity Risk Premium | 9.1% | |
| Multiply by: Beta | 0.87 | |
| Add: Entity Specific Risk Premium | | 3.0% |
| **Cost of Equity (Ke)** | | **18.4%** |
| **Concluded Cost of Equity** | | **18.4%** |

Weighted Average Cost of Capital :

| Particular | Weight | Cost of Capital | Weighted Cost of Capital |
|---|---|---|---|
| Equity | 50% | 18.40% | 9.20% |
| Debt | 50% | 5.04% | 2.52% |
| **Concluded WACC (Round Off)** | | | **11.72%** |

* Weights based on management representation as explained above.

3. <u>Determination of Discount for Lack of Marketability</u>

The equity value is discounted on account of lack of marketability (DLOM), limited exit option for investors and restrictions on the transfer of shares, which are likely to have a depressing effect on the equity value. The median DLOM from empirical studies since 1992 in about 90 percent of the individual studies estimated median discounts falling within a range of 10-35 percent. I have for my analysis assumed it to be as 15%.

4. <u>Terminal Value</u>

Terminal value represents the estimated value of the LLP at the end of the projected period. There are different methods for estimating the terminal value. The commonly used methods are:

- Gordon (Constant) Growth Model;
- Variable Growth Model;
- Exit Multiple;

As the business operations of the LLP will reach at a stable stage at the end of FY 2026-2027, the gordon constant growth model has been applied to compute the terminal value for the purpose of my valuation.

In the computation of terminal year cash flows I have used the following assumption:

- EBIDTA of the terminal year has been assumed to grow at a terminal growth rate from the last projected year.
- We have taken the life of assets to be 25 years in the terminal year and calculated the depreciation accordingly.
- The capital expenditure for terminal year has been assumed as same as the depreciation for the terminal year.
- Based on the long-term GDP rate and other factors, perpetuity growth rate has been assumed as 5%.

## 5. Computation of Value of Partners' Interest

Using the projected FCFF and the discount rate previously determined, we present the discounted cash flow method of valuation in on the following page. This method of valuation results in the Enterprise value at 19,315.88 Lakh. The cash and cash equivalent balances, investments and the borrowing have been adjusted in present values of cashflow to arrive at the equity value before discount at 5,779.13 Lakh. This value has been further adjusted for discount for lack of marketability and control to arrive at an Total value of 4,909.71 Lakh as of the Valuation Date i.e. October 10, 2022, which is presented as follows

**VERTICAL LOGISTIC PARK LLP**
**Valuation Date:** 10-Oct-22

(in INR Lakh)

| Particulars | Rate | 2022-23 | 2023-24 | 2024-25 | 2025-26 | 2026-27 | Terminal Year |
|---|---|---|---|---|---|---|---|
| | | 5.65 | 12 | 12 | 12 | 12 | |
| **NOPAT** | | **45.13** | **588.48** | **887.79** | **1,171.58** | **1,351.36** | **1,443.71** |
| Add Depreciation | | 597.43 | 951.31 | 882.99 | 784.58 | 715.06 | 321.43 |
| Less /(Add): (Increase) / Decrease in Working Capital | | (298.99) | 94.05 | - | - | - | - |
| Less: Addition in Capex | | (1,650.00) | (1,650.00) | - | - | - | (321.43) |
| **Free Cash Flow to Firm** | | **(1,298.42)** | **13.80** | **1,879.68** | **1,956.17** | **2,066.42** | **1,443.71** |
| Years from Cut off (Mid Year Convention) | 11.75% | 0.24 | 0.97 | 1.97 | 2.97 | 3.97 | |
| Discounting Rate PV Factor | | 0.97 | 0.90 | 0.80 | 0.72 | 0.64 | |
| **PV of Free Cash Flow to Firm** | | **(1,263.66)** | **10.42** | **1,503.36** | **1,414.25** | **1,330.40** | |

| Particulars | Amount (in INR Lakh) |
|---|---|
| Sum of Present Value in Explicit Period | 2,995.57 |
| Present Value in Terminal Period | 15,934.97 |
| Add : Present Value of Tax Saving in Terminal Year | 385.34 |
| **Enterprise Value** | **19,315.88** |
| Add: Cash and Cash Equivalents | 288.07 |
| Less : Retired Partner Dues and Tax Liability | (5,317.36) |
| Less : Borrowings | (8,522.47) |
| **Total value of Equity** | **5,779.13** |
| DLOM @ 15% | (866.42) |
| **Total value of Partner's Interest** | **4,909.71** |

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## 6. Conclusion of Value

**Based on our study and analytical review procedures, and subject to the limitations expressed within this report, our opinion of the fair value of Partners' Interest of Vertical Logistic Park LLP in compliance with the Regulation 21 of Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 ("FEMA Regulations") on a going-concern basis, as on October 18, 2022.**

**Concluded Aggregate Fair Value of Partners' Interest**
**INR 4,909.71 Lakh**

**For Doogar & Associates**
**Chartered Accountants,**
FRN: 000561N

IBBI Membership No: IBBI/RV/06/2019/10902
ICAI Registration No. ICAIRVO/RV-N00013/2018-19

Date: October 14, 2022
UDIN: 22517347AZTYLA1803
Place: Gurugram

**Vardhman Doogar**
Partner
Membership Number: [illegible]

## V. APPENDIX A

### STATEMENT OF ASSUMPTIONS AND LIMITING CONDITIONS

This report is subject to the following assumptions and limiting conditions:

- I have no present or contemplated financial interest in the LLP. My fees for this report are based upon my normal hourly billing rates, and in no way are contingent upon the results of my findings. I have no responsibility or obligation to update this report for events or circumstances brought to my attention or occurring subsequent to the date of this report.
- Users of this report should be aware this report is based on assumptions regarding future earnings potential, and/or certain asset values that may or may not materialize. Therefore, the actual results achieved in the future will vary from the assumptions utilized in this report, and the variations may be material.
- My report is based on historical and/or prospective financial information provided to me by the Management and other third parties. Had I audited the underlying data, matters may have come to my attention, which would have resulted in my using amounts that differ from those provided.
- The LLP and its representatives warranted to me that the information they supplied was complete and accurate to the best of their knowledge and that the financial statement information reflects the LLP's results of operations and financial condition, unless otherwise noted. Information supplied by the Management has been accepted as true and correct, and I express no opinion on that information.
- I have relied upon the representations of the owners, the Management and other third parties concerning the value and useful condition of all equipment, real estate investments, investment used in the business, and any other assets or liabilities except as specifically stated to the contrary in this report. I have not attempted to confirm whether or not all assets of the business are free and clear of liens and encumbrances, or that the LLP has good title to all assets.
- I have not ascertained and checked the ownership titles on the assets held by the LLP.
- I have assumed that the LLP will maintain the character and integrity of the LLP through any reorganization or reduction of any owners'/managers' participation in the existing activities of the LLP.
- I do not purport to be a guarantor of value. Valuation of closely-held LLP is an imprecise science, with value being a question of fact, and reasonable people can differ in their estimates of value I have, however, used conceptually sound and commonly accepted methods and procedures of valuation in determining the estimate of value included in this report.
- The various estimates of value presented in this report apply to this valuation only and may not be used out of the context presented herein. This valuation is valid only for the purpose or purposes specified herein. This report is valid only for the valuation date specified herein.
- The valuation contemplates facts and conditions existing as on the Valuation Date. Events and conditions occurring after that date have not been considered, and I have no obligation to update my report for such events and conditions.
- I have assumed that there is full compliance with all applicable central and state regulation, and laws unless otherwise specified in this report.
- I have presented certain information within this report, which was taken from sources including, but not limited to, financial statements, tax returns, and corporate history. This information has been supplied by the Companies or their representatives. The historical financial information presented within is included solely to assist in the development of the value conclusion presented in this report, and it should not be used to obtain credit or for any other purpose. Because of the limited purpose of this presentation, it may be incomplete and contain departures from generally accepted accounting principles. I have not audited, reviewed, or compiled this presentation and express no assurance on it. Accordingly, this report should not be construed, or referred to, as an audit, examination, or review by me.
- Possession of this report, or a copy thereof, does not carry with it the right of publication of all or part of it, nor may it be used for any purpose by anyone but the Management without my previous written consent, and, in any event, only with proper attribution.
- Any recast financial statements, forecasts, or pro forma statements are the result of data provided by the LLP, their officers, or representatives, or are based on assumptions as indicated in this report. Such recasted, forecasted, or pro forma statements may not anticipate the economic, socioeconomic, political, market, or legal factors, which may impact the operations of the subject LLP. Accordingly, I makes no representations, expressed or implied, as to the validity of such recasted, forecasted, or pro forma statements.
- This report is neither an offer to sell, nor a solicitation to buy securities, and/or equity in, or assets of, the LLP.
- This valuation report was prepared in compliance with, and meets the reporting requirements of the FEMA.

## VI. APPENDIX B

**PROFILE - REGISTERED VALUER**

CA VARDHMAN DOOGAR
Mob : +91 9999632411
vardhmandoogar@gmail.com

**Professional Qualification**
• Chartered Accountant (CA), November 2009 Batch, First Attempt
• Company Secretary from ICSI • MBA in International Business
• Registered valuer under the provisions of Section 247 of Companies Act, 2013

**Educational Qualification**
B.Com from Mohanlal Sukhadia University, Udaipur

**Overall Experience**
More than 5 years in the financial sector and holds diversified experience in the field of Corporate consultancy and Business Valuation, Advising/offering a large number of SME's and Investment Banking.

**Valuation Experience**
Have handled more than 120 Valuation assignments being a consultant to Category 1 – Merchant Banker.
Performed valuation assignments for a variety of purposes – Financial reporting, regulatory compliances, transaction advisory, merger & acquisition and financial restructuring.
Experience of valuing companies/ assets across industries – Power Sector, Supply Chain, E-Commerce, Start-ups, Manufacturing, Retail, E-commerce, Financial Services, Hotel, Agro Foods and Real Estate etc.
Valuation of complex instruments, intangible assets, operating Businesses, ESOPs, purchase price allocation, Corporate Guarantee etc.
Performed valuation assignments for a variety of purposes – Financial reporting, regulatory compliances, transaction advisory, merger & acquisition and financial restructuring.

**Selective Valuation Credentials**
Music Streaming Application based in India – Valuation of equity shares for FEMA provisions.
Food Ordering Company – E-commerce start up, valuation of ESOP's for reporting purposes.
Renewable Power Company – One of the India's largest renewable power group, valuation of equity shares for FEMA provisions.
Hospital - One on the renowned hospitals in Delhi, valuation of equity share for FEMA provisions.
Real Estate – Renowned real estate Company, valuation of equity shares for various purposes.
Financial Services Company – India's one of the largest NBFC, valuation of equity shares for FEMA provision.

**--End of the report--**

New Delhi